

Research Proposal - Stage 1

Proposed Title:

Inflation Targeting and Financial Stability in Selected Emerging and Developed Economies, 1995–2022: Evidence from Four Stability Indicators

Student Name: Prabaseelan Vettivelu

Proposed Research Area: Inflation Targeting and Financial Stability

Instructor: Zahra Atf

Background

Inflation targeting has become a widely adopted monetary policy framework under which central banks publicly announce an inflation target and adjust monetary policy instruments, mainly interest rates, to keep inflation close to that target. Inflation targeting is commonly associated with greater transparency, improved central bank credibility, stronger accountability, and better-anchored inflation expectations.

However, the global financial crisis of 2008–2009 showed that low and stable inflation does not automatically guarantee financial stability. Several economies with inflation-targeting frameworks still experienced excessive credit growth, banking-sector vulnerabilities, exchange-rate pressures, and asset-price imbalances. This has created an important debate in monetary economics: whether inflation-targeting central banks should focus mainly on price stability or whether they should also give greater attention to broader financial stability risks.

The selected academic literature provides mixed evidence on this issue. Bernanke and Mishkin (1997) explain inflation targeting as a flexible monetary policy framework that improves transparency and credibility. Akram and Eitrheim (2008) argue that stabilizing inflation and output may not be sufficient to prevent financial imbalances. Frappa and Mésonnier (2010) find that inflation targeting may be linked to housing-price increases, while Fazio et al. (2015) find that inflation-targeting countries may have more stable banking systems. Fouejieu (2017) finds that inflation targeting is associated with financial fragility in emerging markets. Fazio et al. (2018) highlight the role of institutional quality in shaping the relationship between inflation targeting and financial stability. Kim and Mehrotra (2017) discuss short-term trade-offs between price stability and financial stability in Asian inflation-targeting economies. Mishra and Dubey (2022) find positive spillover effects of inflation targeting on financial stability in emerging market economies. More recent studies by Ngepah et al. (2026) and Mugrabi et al. (2026) suggest that the relationship between inflation targeting and financial stability differs between emerging and developed economies and depends partly on macroprudential policy strength.

To make the study focused and manageable, this research will examine five selected emerging economies: Brazil, Mexico, South Africa, Indonesia, and Turkey, and five selected developed economies: Canada, the United Kingdom, Sweden, Australia, and New Zealand. These countries are selected because they provide useful examples of inflation-targeting frameworks operating in different institutional, financial, and macroeconomic environments.

The study will cover the period 1995–2022. This period is selected because it covers the wider adoption of inflation-targeting frameworks, the pre- and post-global financial crisis periods, and recent macro-financial developments before the major global disruptions after 2022.

The study will examine four financial-stability-related indicators: banking stability, credit growth, exchange-rate volatility, and inflation volatility. Banking stability may be measured using indicators such as the bank Z-score. Credit growth may be measured through private credit as a percentage of GDP or private credit growth. Exchange-rate volatility may be measured using the rolling standard deviation of monthly exchange-rate returns. Inflation

volatility may be measured using the rolling standard deviation of monthly consumer price inflation. These indicators capture key channels through which inflation targeting may influence macro-financial stability.

This study will be conducted as a comparative empirical analysis using secondary macroeconomic and financial data for the selected countries from 1995 to 2022.

Problem Statement

Inflation targeting is expected to help central banks maintain low and stable inflation by anchoring expectations, improving policy credibility, and reducing macroeconomic uncertainty. In principle, this stable monetary environment should also support financial stability by reducing uncertainty in banking, credit, exchange-rate, and inflation conditions.

However, the experience of inflation-targeting economies shows that price stability does not always prevent financial instability. Some countries have maintained inflation-targeting frameworks while still experiencing banking-sector weakness, rapid credit growth, exchange-rate pressure, and financial vulnerability. This creates an important policy problem: inflation targeting may help control inflation, but its broader effect on financial stability remains uncertain.

This issue is especially important when comparing emerging and developed economies. Emerging economies often face greater exchange-rate exposure, capital-flow volatility, weaker institutions, and less-developed financial markets. Developed economies usually have stronger regulatory systems, but they may still experience banking cycles, credit expansion, and asset-price risks. Therefore, the financial-stability effect of inflation targeting may differ across country groups.

To address this problem, this study will examine selected emerging and developed inflation-targeting economies from 1995 to 2022. It will focus on four clearly defined indicators: banking stability, credit growth, exchange-rate volatility, and inflation volatility. By narrowing the countries, period, indicators, and method, the study aims to provide a focused assessment of how inflation targeting is related to financial stability.

Research Gap

Previous studies have examined inflation targeting from several perspectives, including inflation control, monetary policy credibility, output stability, banking stability, credit growth, asset prices, and systemic risk. However, the existing literature still leaves three important gaps.

First, many studies focus on either emerging economies or developed economies, rather than comparing both groups within the same research framework. As a result, it remains difficult to clearly understand whether inflation targeting affects financial stability differently across levels of economic development.

Second, previous studies use different measures of financial stability. Some focus on banking stability, while others examine credit growth, housing prices, systemic risk, or broader financial stability indices. Because the indicators differ across studies, the findings are difficult to compare directly. A more focused study using the same set of indicators across selected countries can help improve comparability.

Third, the role of institutional quality and macroprudential policy is not fully integrated into the comparison between emerging and developed economies. This is important because inflation targeting may produce stronger financial-stability outcomes where institutions are credible and financial regulation is effective.

This study addresses these gaps by comparing five selected emerging economies and five selected developed economies over the period 1995–2022, using four consistent indicators: banking stability, credit growth, exchange-rate volatility, and inflation volatility. Institutional quality and macroprudential policy will also be considered when interpreting the differences between the two country groups.

Aim and Objectives

Aim

The aim of this study is to examine the relationship between inflation-targeting monetary policy and financial stability in selected emerging and developed economies from 1995 to 2022.

Objectives

1. To explain the concept of inflation targeting and its relevance to price stability and financial stability.
2. To examine the relationship between inflation targeting and four financial-stability-related indicators: banking stability, credit growth, exchange-rate volatility, and inflation volatility.
3. To compare the inflation targeting–financial stability relationship in five selected emerging economies: Brazil, Mexico, South Africa, Indonesia, and Turkey.
4. To compare the inflation targeting–financial stability relationship in five selected developed economies: Canada, the United Kingdom, Sweden, Australia, and New Zealand.
5. To assess the extent to which institutional quality and macroprudential policy influence the relationship between inflation targeting and financial stability.

Research Questions

1. What is the overall association between inflation targeting and the selected financial stability indicators in the selected economies from 1995 to 2022?

2. How does this association differ between the selected emerging economies and the selected developed economies?
3. How is inflation targeting associated with banking stability, credit growth, exchange-rate volatility, and inflation volatility?
4. To what extent do institutional quality and macroprudential policy influence the relationship between inflation targeting and financial stability?

References

- Akram, Q. F., & Eitrheim, Ø. (2008). Flexible inflation targeting and financial stability: Is it enough to stabilize inflation and output? *Journal of Banking & Finance*, 32(7), 1242–1254. <https://doi.org/10.1016/j.jbankfin.2007.10.008>
- Bernanke, B. S., & Mishkin, F. S. (1997). Inflation targeting: A new framework for monetary policy? *Journal of Economic Perspectives*, 11(2), 97–116. <https://doi.org/10.1257/jep.11.2.97>
- Fazio, D. M., Silva, T. C., Tabak, B. M., & Cajueiro, D. O. (2018). Inflation targeting and financial stability: Does the quality of institutions matter? *Economic Modelling*, 71, 1–15. <https://doi.org/10.1016/j.econmod.2017.09.011>
- Fazio, D. M., Tabak, B. M., & Cajueiro, D. O. (2015). Inflation targeting: Is IT to blame for banking system instability? *Journal of Banking & Finance*, 59, 76–97. <https://doi.org/10.1016/j.jbankfin.2015.05.016>
- Fouejieu, A. (2017). Inflation targeting and financial stability in emerging markets. *Economic Modelling*, 60, 51–70. <https://doi.org/10.1016/j.econmod.2016.08.020>
- Frappa, S., & Mésonnier, J.-S. (2010). The housing price boom of the late 1990s: Did inflation targeting matter? *Journal of Financial Stability*, 6(4), 243–254. <https://doi.org/10.1016/j.jfs.2010.06.001>
- Kim, S., & Mehrotra, A. (2017). Managing price and financial stability objectives in inflation targeting economies in Asia and the Pacific. *Journal of Financial Stability*, 29, 106–116. <https://doi.org/10.1016/j.jfs.2017.02.003>
- Mishra, A., & Dubey, A. (2022). Inflation targeting and its spillover effects on financial stability in emerging market economies. *Journal of Policy Modeling*, 44(6), 1198–1218. <https://doi.org/10.1016/j.jpolmod.2022.10.003>

- Mugrabi, F., Belkhir, M., Ben Naceur, S., Candelon, B., & Choi, W. G. (2026). Macroprudential policy and bank systemic risk: Does inflation targeting matter? *Emerging Markets Review*, 71, Article 101397. <https://doi.org/10.1016/j.ememar.2025.101397>
- Ngepah, N., Kekaye, T., & Saba, C. S. (2026). Inflation targeting and financial stability: A cross-country comparison of emerging and developed economies. *Journal of Economic Studies*, 53(9), 57–79. <https://doi.org/10.1108/JES-01-2025-0043>